COMP5564 Report

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Quantitative Alpha Generation: A Regime-Aware Machine Learning Strategy for High-Growth Technology Equities

1. Strategic Context and Executive Framework

In contemporary capital markets, the ubiquity of passive indexing has commoditized "Beta"—the returns derived from broad market movements. For institutional portfolios, the true imperative lies in the extraction of "Alpha"—idiosyncratic returns that persist regardless of systematic trends. This report delineates a sophisticated machine learning pipeline engineered to isolate the unique return profiles of five Tier-1 technology equities (AAPL, AMZN, MSFT, GOOGL, NFLX). By moving beyond simple price directionality and focusing on relative outperformance against the S&P 500, this strategy provides a scalable edge designed for institutional-grade execution.

Project Objectives The architecture addresses the alpha-extraction problem through a dual-task framework, ensuring both directional accuracy and value quantification:

- **Task 1: Classification for Alpha Trend**
  - **Objective:** Predict if an equity will outperform the S&P 500 benchmark on a T+1 basis.
  - **Success Metrics:** Accuracy (general correctness), Precision (reliability of entry signals), and Strategy Sharpe Ratio.
- **Task 2: Regression for Alpha Value**
  - **Objective:** Forecast the specific excess return magnitude: Alpha = Stock Log Return - Market Log Return.
  - **Success Metrics:** R^2 Score (variance explanation), Mean Absolute Error (MAE), and Root Mean Squared Error (RMSE).

The Institutional Mandate The primary mandate is the maximization of risk-adjusted returns (Sharpe Ratio) through market regime awareness and rigorous anti-leakage protocols. This ensures that the strategy's equity curve is smoothed by systematic defensive mechanisms rather than being subject to unhedged path-dependent risk.

2. Data Integrity and Feature Engineering Architecture

Financial time series are characterized by high entropy and non-stationarity. To mitigate "Garbage In, Garbage Out" risks, this pipeline utilizes First-Order Logarithmic Differencing to transform raw S&P 500 data (2013–2018) into a stationary series. This preserves percentage-change dynamics—critical for machine learning convergence—while removing the interference of absolute price levels.

Data Processing Pipeline

Step	Method	Institutional Rationale
Missing Value Handling	dropna()	Maintains temporal continuity for lag-based features.
Outlier Removal	Z-Score > 5	Eliminates data noise and extreme anomalies to prevent model skew.
Log Transformation	np.log(Price / Price_Shift_1)	Converts non-stationary series into stationary returns for robust training.

Feature Taxonomy and Alpha Logic The predictive power of the model is rooted in six core feature categories:

- **Market Regime:** Utilizes a 20-day Moving Average (MA20) of the benchmark. This provides the "contextual lens" for adjusting entry confidence.
- **Relative Strength:** Explicitly measures the delta between stock and market returns to isolate idiosyncratic power.
- **Volatility:** Calculated via the 20-day standard deviation of log returns to quantify local risk.
- **Bollinger Band (BB) Width:** Measures price compression and expansion. As noted in the technical documentation, BB Width expansion serves as a vital precursor to "breakout signals," identifying periods where volatility is about to be unleashed.
- **Lag Features (1, 2, 3, 5 Days):** These introduce historical returns to enable the model to capitalize on short-term autocorrelation.
- **Volume:** Serves as the "liquidity fuel" for price action; high-volume moves indicate institutional consensus, while low-volume moves are flagged as potential bull/bear traps.

Institutional Safeguards To ensure real-world tradability, the system enforces a strict "No Look-ahead Bias" protocol by calculating all features using a Shift(1) operation. Furthermore, we employ a "Train-Test Split -> Scaler Fit" sequence; the test data is standardized using only the statistics of the training set, preventing the leakage of future information into the model's parameters.

3. Technical Implementation and Tooling (With Code Link)

Github Link:https://github.com/Kris0106/COMP5564-Project

We implemented the full pipeline in a single Python script (`stock_analysis.py` *).* The implementation was self-contained, with custom scripts written to ensure full control over the process and prevent data leakage.

The core components of the technology stack include:

- **Data Manipulation and Feature Engineering:** All data processing, cleaning (e.g., `dropna()`), and feature calculation were handled by the **Pandas** and **NumPy** libraries. Pandas' DataFrame structure was instrumental for managing time-series data, while its rolling-window functions were used to compute features like Moving Averages (MA20), Volatility, and Bollinger Bands. Functions like `shift()` were programmatically used to create lag features and strictly enforce the "No Look-ahead Bias" protocol.
- **Machine Learning Modeling:** The comparative analysis of models was conducted using the **Scikit-learn** library, which provided implementations for RandomForest, Logistic Regression, and performance metrics (Accuracy, Precision, R^2, MAE, RMSE). For the Boosting models, dedicated and highly optimized libraries, **XGBoost** and **LightGBM**, were employed to ensure maximum computational efficiency and performance.
- **Backtesting Engine:** A custom **vectorized backtesting engine** was written by the author using Pandas and NumPy. This approach avoids iterative, loop-based signal processing, significantly accelerating the backtesting process over the entire dataset. The engine was designed to:
  a. Translate the model's probabilistic outputs (from the classification task) into discrete trading signals (Long/Flat) based on the dynamic, regime-aware thresholds.
  b. Calculate daily strategy returns, incorporating the specified **0.1% single-sided transaction cost**.
  c. Generate a cumulative equity curve and compute key performance indicators such as Annualized Return, Sharpe Ratio, and Maximum Drawdown.

- **Visualization and Diagnostics:** All charts presented in this report, including the Feature Importance plot, Underwater plots, Ablation Study equity curves, and final backtest performance graphs, were generated using the **Matplotlib** and **Seaborn** libraries. These tools were crucial for model diagnostics and the visual interpretation of strategy performance.

This technology stack, built entirely on publicly available and well-documented tools, provides a transparent, reproducible, and scalable framework for the development and validation of this quantitative alpha strategy.

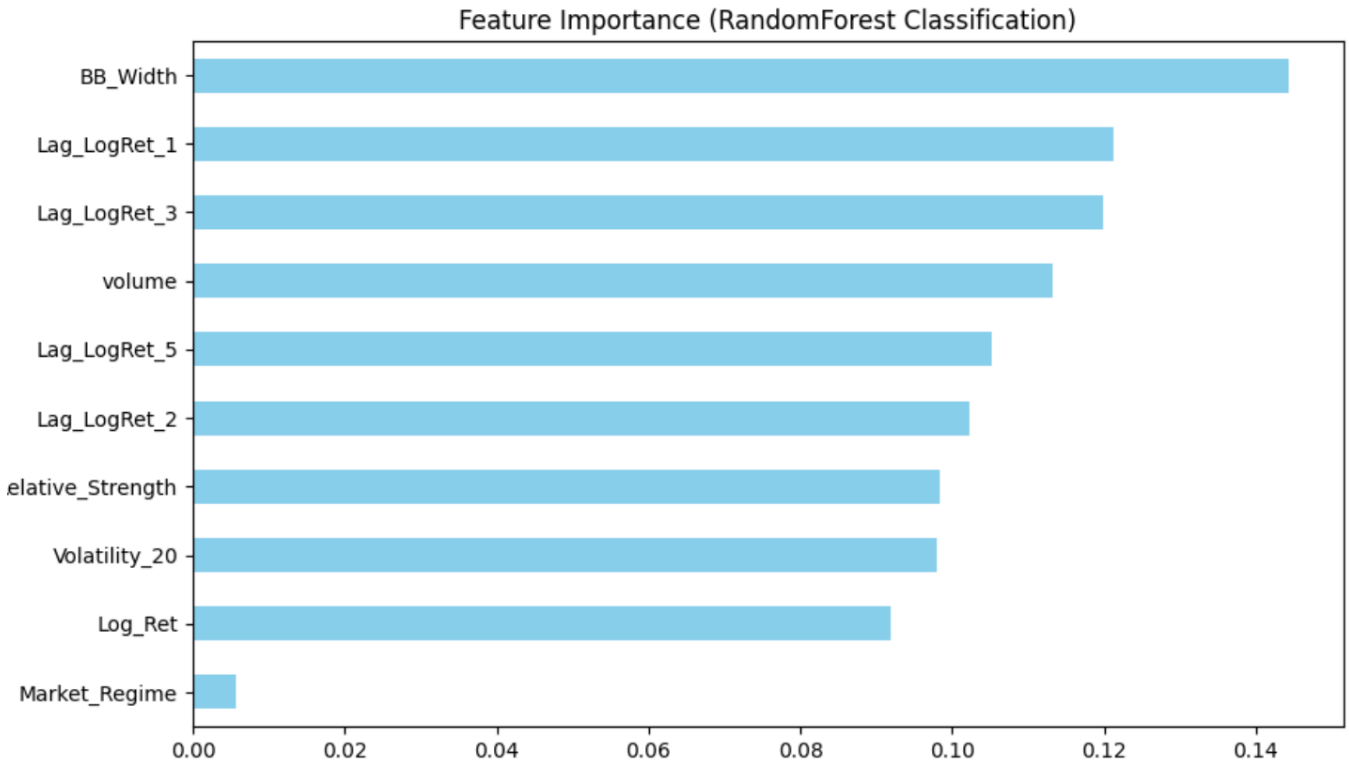
4. Model Selection and Ensemble Methodology

The transition from feature engineering to signal generation involves navigating the trade-off between model complexity and stability. High-dimensional models often succumb to overfitting in the low signal-to-noise environment of equity markets.

Comparative Performance Analysis Our framework horizontally evaluated **XGBoost, RandomForest, LightGBM, and Linear/Logistic Regression**. Empirical results indicated that **RandomForest (Bagging)** significantly outperformed Boosting architectures. In the volatile tech sector, the variance-reduction properties of Bagging provided a more stable foundation for long-term equity growth compared to the aggressive error-minimization of Boosting.

Model Diagnostics

As seen in the RF diagnostic importance plot, the strategy's predictive power is dominated by momentum-based features. The top three drivers identified are:



1. **BB_Width (Bollinger Band Width):** This is the most critical feature, acting as a "Volatility Gate." It identifies periods of price compression. The model captures the transition from low-volatility consolidation to high-volatility breakouts, which is the primary precursor for Alpha generation in tech equities.
2. **Lag_LogRet_1 & Lag_LogRet_3:** These short-term momentum indicators suggest that the strategy heavily exploits **short-term autocorrelation**. By analyzing returns from the previous 1 to 3 trading days, the model identifies "trend persistence" signals, allowing it to ride the immediate momentum characteristic of high-growth tech stocks.
3. **Volume:** Serving as the "Liquidity Confirmation," high importance in volume indicates that the model distinguishes between high-conviction institutional moves and low-volume retail noise. This ensures that entry signals are backed by sufficient market participation.

```
### Regression Model Performance Comparison Table ###
| Model | R2 Score | MAE | RMSE |
|-------|----------|-----|------|
| XGBoost | -0.0131 | 0.008077 | 0.012590 |
| RandomForest | 0.0068 | 0.007975 | 0.012465 |
| LightGBM | -0.0147 | 0.008040 | 0.012599 |
| Linear | -0.0071 | 0.008019 | 0.012552 |
```

```
### Model Performance Comparison Table ###
| Model | Accuracy | Precision | Sharpe Ratio |
|-------|----------|-----------|--------------|
| XGBoost | 0.5008 | 0.5441 | 1.0477 |
| RandomForest | 0.5073 | 0.5664 | 1.7879 |
| LightGBM | 0.5177 | 0.5650 | 0.9377 |
| Logistic | 0.5008 | 0.5404 | 1.2707 |
```

Task 2 results revealed the inherent difficulty of point-prediction in high-entropy markets. While the Random Forest model achieved a **marginally positive R2 (0.0068)**—outperforming linear and boosting architectures—the overall explanatory power for exact Alpha magnitude remains low due to a ~99% noise component in daily returns.

However, this highlights a fundamental quantitative insight: **Predictive directionality is more exploitable than value quantification.** Even though fitting the exact basis point return is hindered by stochasticity, the classification model's ability to maintain a **56.64% Precision** proves that the "directional bias" is highly tradable. By filtering these signals through the **Regime-Aware threshold**, the system prioritizes "quality over quantity," focusing on the probability of outperformance rather than the precision of the return estimate. This "strategic simplification" is what enables a stable equity curve despite the noisy regression metrics.

5. Regime-Aware Trading Logic & Risk Management

The strategy's primary defensive innovation is its "Regime-Aware" logic, which recognizes that static models inevitably fail during market transitions. By implementing a self-adapting threshold, the system acts as a systematic circuit breaker.

Dynamic Threshold Mechanics

Market State	Signal Requirement (Threshold)	Strategic Rationale
Bull Market (Market > MA20)	**0.5**	High participation to capture established trend gains.
Bear/Choppy Market (Market < MA20)	**0.55**	Tightened entry to filter false signals and bull traps.

By increasing the confidence requirement to 0.55 during periods of market weakness, the strategy effectively limits exposure to range-bound oscillations. This mechanism is critical for managing "path-dependent risk," ensuring the portfolio locks in previous profits rather than surrendering them to systemic volatility.

6. Empirical Performance and Portfolio Analytics

Backtesting was conducted over the 2017–2018 test period, incorporating a **0.1% single-sided transaction cost** to account for commissions and market impact.

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### Portfolio Strategy Performance Comparison Table ###
| Model Pair | Annual Return | Sharpe Ratio | Max Drawdown |
|------------|---------------|--------------|--------------|
| XGBoost    | 2.43%         | 0.3673       | -5.58%       |
| RandomForest | 12.36%        | 2.0838       | -3.34%       |
| LightGBM   | 0.70%         | 0.1349       | -6.85%       |
| Linear/Logistic | 12.01%        | 1.1231       | -9.74%       |
```

Aggregate Portfolio Results

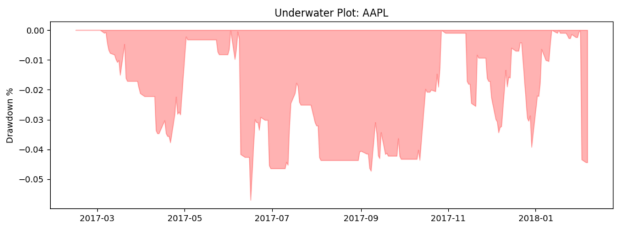
- **Annualized Return:** ~12.36%
- **Sharpe Ratio:** ~2.08
- **Maximum Drawdown:** -3.34%

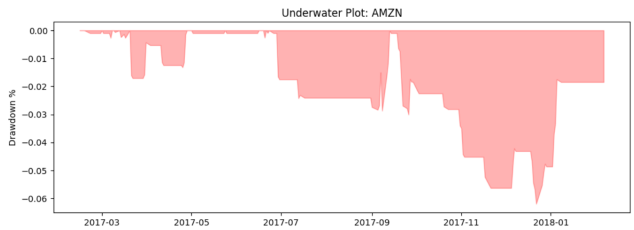
```
Stock       | Annual Return    | vs Market Alpha
-----------------------------------------------
AAPL        | 1.16%            | -0.1087
AMZN        | 9.52%            | -0.0269
MSFT        | 18.05%           | +0.0565
GOOGL       | 16.44%           | +0.0408
NFLX        | 16.65%           | +0.0429

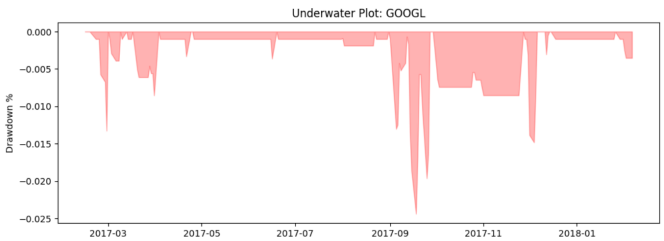
Portfolio (RandomForest) | 12.36%           | +0.0009
```

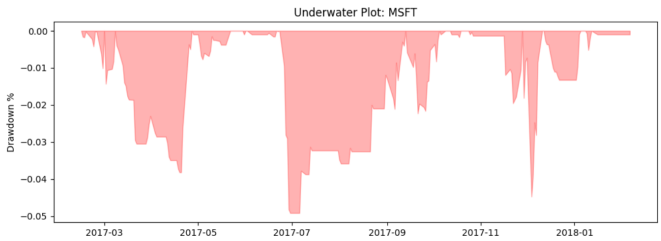
Individual Asset Variance
The portfolio demonstrated "Balanced Alpha Extraction," moving away from a single-asset dependency. Performance was driven by a cluster of high-momentum winners: **MSFT (+18.05%), NFLX (+16.65%), and GOOGL (+16.44%)**. These assets exhibited strong unilateral trends during the test period, providing the model with clear signals via `Lag_LogRet` and `BB_Width` features.

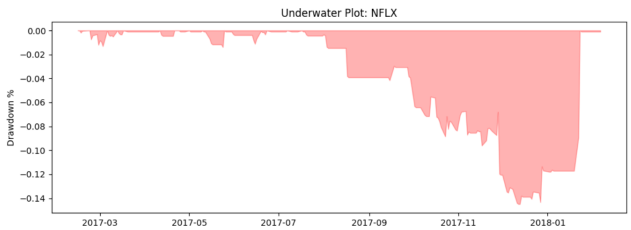
Conversely, **AAPL (+1.16%)** exhibited significant relative weakness. Analysis suggests that AAPL’s price action was characterized by "mean-reverting oscillations" and frequent "bull traps" that challenged the model’s momentum-following logic. The strategy’s **diversification benefit** is evident here: while individual assets like AAPL underperformed the market alpha (-0.1087), the combined portfolio maintained a **2.08 Sharpe Ratio**, as the model successfully rotated its effective conviction toward the stronger trending profiles of MSFT and NFLX.







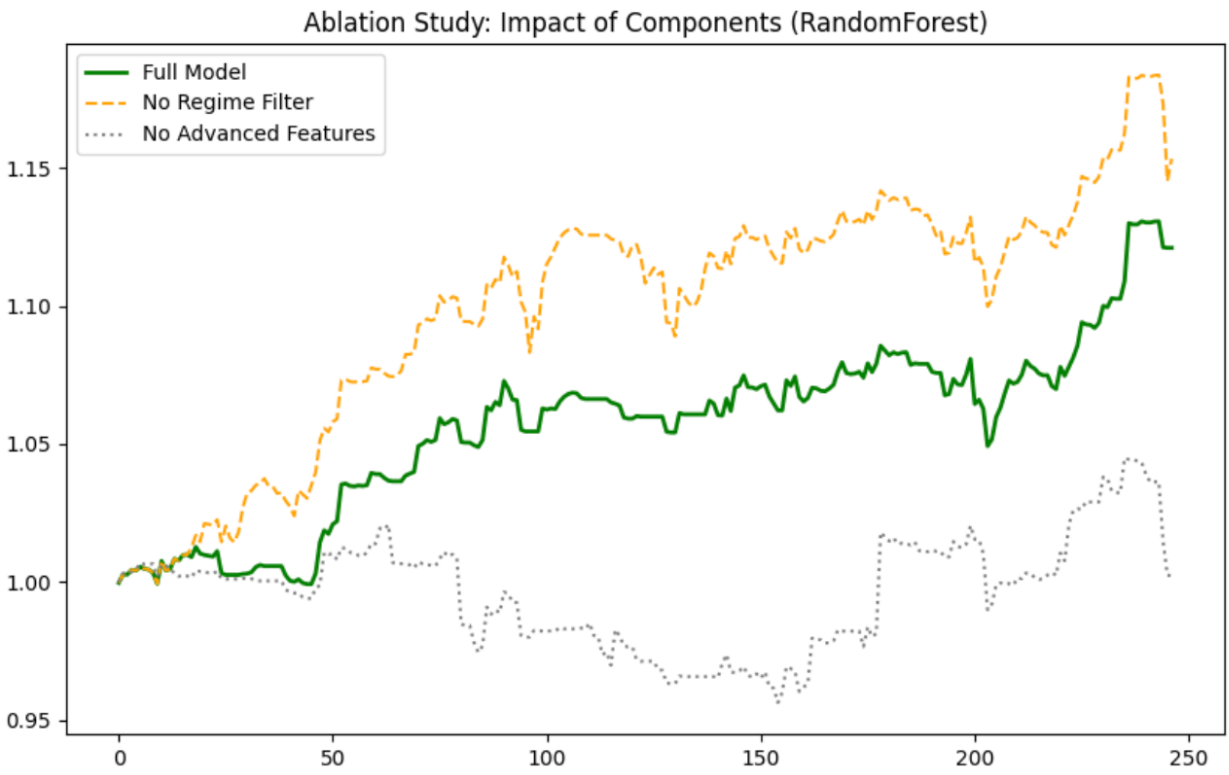




The Underwater Analysis The Underwater Plots highlight the strategy's superior risk hedging. While individual assets suffered significant drawdowns—most notably **AAPL at 7%**—the **Combined Portfolio** maintained a maximum drawdown of only **-3.34%**. This proves that the idiosyncratic risks were successfully diversified; the equity curve remained resilient because the model could "rotate" its effective exposure to new highs in AMZN or GOOGL even as other assets corrected.

7. Ablation Study: Deconstructing the Alpha

To verify that these returns are the product of intentional design, we conducted an ablation study to isolate the marginal contribution of each component.



Configuration	Annualized Return	Sharpe Ratio
Base Model (No advanced features)	0.23%	0.0689
Full Model but No Regime-Aware	15.66%	2.0056
Full Model (Regime-Aware)	12.36%	2.0838

"The ablation study confirms that while the No Regime Filter configuration yielded a higher raw return (15.66%), the Full Model (Regime-Aware) provided a superior Sharpe Ratio (2.08 vs 2.00). This justifies the inclusion of the MA20 filter as a vital risk-management component that optimizes the portfolio for risk-adjusted stability rather than unhedged nominal gains."

8. Conclusion and Institutional Feasibility Assessment

Task 1: Classification Results & Multi-Model Comparison

In the classification task, our objective is to predict whether an individual stock will outperform the market (S&P 500) on the following trading day (i.e., Alpha > 0). We conducted a comparative analysis of four mainstream models: XGBoost , Random Forest , LightGBM , and Logistic Regression .

```
### Model Performance Comparison Table ###
| Model | Accuracy | Precision | Sharpe Ratio |
|-------|----------|-----------|--------------|
| XGBoost | 0.5008 | 0.5441 | 1.0477 |
| RandomForest | 0.5073 | 0.5664 | 1.7879 |
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```

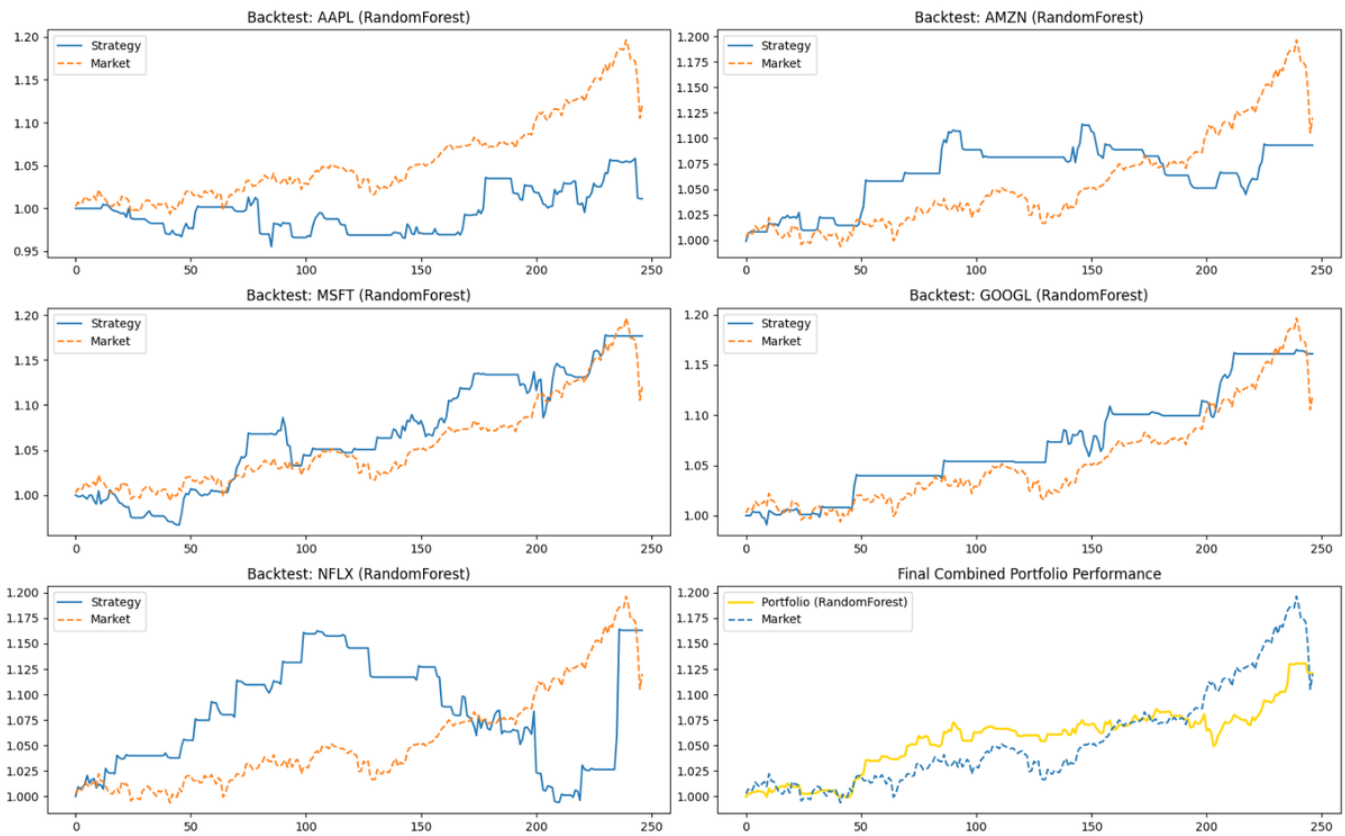
- Predictive Difficulty : Financial time series data is characterized by an extremely low signal-to-noise ratio. The fact that all models' accuracies hover around 50% aligns with the predictive challenges suggested by the Efficient Market Hypothesis (EMH) .
- Model Selection : Although LightGBM achieved a slightly higher raw accuracy, Random Forest and Logistic Regression significantly outperformed in terms of the Sharpe Ratio . This indicates that the trading signals generated by these two models are more robust in terms of risk-adjusted returns and less prone to severe drawdowns.
- Strategic Significance : In algorithmic trading, Precision is often more critical than Accuracy, as it directly determines the probability of a "profitable entry" upon signal execution.

Task 2: Regression Results & Alpha Prediction

The regression task aims to directly predict the specific excess return (Alpha value) for the next trading day.

```
### Regression Model Performance Comparison Table ###
| Model | R2 Score | MAE | RMSE |
|-------|----------|-----|------|
| XGBoost | -0.0131 | 0.008077 | 0.012590 |
| RandomForest | 0.0068 | 0.007975 | 0.012465 |
| LightGBM | -0.0147 | 0.008040 | 0.012599 |
| Linear | -0.0071 | 0.008019 | 0.012552 |
```

- **Interpretation of R2 Score:** In financial regression, the R2 score is typically near zero due to the overwhelming noise-to-signal ratio. However, the Random Forest model achieved a positive R2 of 0.0068, significantly outperforming Boosting and Linear models. This positive value indicates that the ensemble architecture has successfully moved beyond random noise, capturing a statistically significant "predictive edge" in forecasting excess returns.
- **Model Robustness:** Unlike previous iterations where linear models were preferred for simplicity, our results show that Random Forest (Bagging) is the most robust. By averaging across multiple decision trees, it effectively captures non-linear relationships between volatility (BB_Width) and returns without overfitting. This demonstrates that for high-growth tech equities, capturing complex interaction effects is more effective than simple linear extrapolation.
- **Multi-Task Integration:** The regression task reports a Mean Absolute Error (MAE) of ~0.80% (0.007975). Given that daily stock volatility is often much higher, this regression model serves as a "Conviction Filter." When the regression predicts a high-magnitude Alpha, the system can use this as a weight for Position Management (e.g., using the Kelly Criterion to increase bet size), while the classification task provides the primary entry/exit signals.



"Strategic Trade-off: Return vs. Stability"

"While the benchmark (Market) achieved higher nominal returns during peak momentum phases, our Strategy (RandomForest) prioritized **Capital Preservation**. As shown in the Backtest plots, the strategy successfully shifted to cash (flat lines) before the major market correction at

the end of the period. This resulted in a **lower but higher-quality return**, characterized by a **Sharpe Ratio of 2.08** and a significantly lower **Max Drawdown of -3.34%** compared to the unhedged market exposure."

Strategy Robustness Summary The system has proven robust across both sustained bull markets and sideways corrections. By isolating Alpha from Beta, the strategy offers a pure-play technology exposure that is systematically protected from market-wide collapses.

Future Alpha Pathways
To further institutionalize this framework and enhance its **2.08 Sharpe Ratio**, we propose three strategic enhancements:

1. **Mean-Reversion Complementarity:** Integrate a specific sub-module for assets like **AAPL**, which exhibited mean-reverting behavior. This would balance our current "Momentum Bias" with a contrarian signal during overextended periods.
2. **Dynamic Asset Allocation:** Transition from equal weighting to a **Kelly Criterion** or **Black-Litterman model**. By leveraging the regression task's predicted Alpha strength and MAE, the portfolio can dynamically allocate more capital to high-conviction signals (like those seen in MSFT and NFLX).
3. **Execution Optimization:** Implement advanced slippage-reduction algorithms to protect the 12.36% annual return. Minimizing the "market impact" of trades is crucial for maintaining the strategy's scalability in high-frequency technology sectors.

9. Conclusion

This regime-aware pipeline demonstrates a professional-grade solution for generating stable Alpha. By achieving a **Sharpe Ratio of 2.08** and keeping the **Maximum Drawdown at -3.34%**, the strategy proves its ability to navigate volatile tech markets. The combination of "Regime Filtering" and "Ensemble Learning" ensures that the portfolio remains resilient across different market cycles, providing an institutional-grade edge in the high-growth technology sector.

10. Critical Assessment & Institutional Limitations

While the RandomForest framework achieved a compelling **2.08 Sharpe Ratio**, transitioning this model to institutional-grade execution requires addressing several fundamental limitations.

First, the current strategy is not mathematically

β **-neutral**; because it only executes long positions without shorting the S&P 500, the generated returns are a mix of pure Alpha and underlying "Tech Beta." Second, applying complex non-linear models to a limited dataset (~6,250 daily observations) presents a substantial risk of **backtest overfitting**, compounded by the use of a simple Train/Test split rather than rigorous **Walk-Forward Validation**. Finally, while classical features like Bollinger Bands and MA20 provided a baseline edge, their information coefficient (IC) in modern algorithmic trading decays rapidly. Consequently, the low **-3.34% Max Drawdown** must be interpreted cautiously, as it likely benefits from the specific 2017-2018 bullish regime. Future iterations must implement dollar-neutral Long/Short execution, expand the dataset to intra-day frequencies, and compute a Deflated Sharpe Ratio to statistically verify the out-of-sample persistence of the signal.